

GLOBAL MELTDOWN: HOW WILL IT EVER STOP?

“Recession could last till the end of 2010”

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Photographs by RAVIS SAHANI

The good news is that after the near global financial meltdown that we had last fall, after the collapse of Lehman Brothers, we were one step away from a total financial meltdown. There was like a cardiac arrest of the global financial system. We recovered because the G7 essentially made a few commitments at the time of the IMF meetings. They said, “We are not going to let any systemically important financial institution fail in a disorderly way. We are going to do everything to avoid systemic financial meltdown.”

But the bad news is that actually the problems of the financial system and financial institutions are not getting better. They are getting worse in many dimensions. About a year ago, I wrote a piece in which I said that “expected credit losses for US financial institutions could be in \$1-3 trillion range”. At that time people thought that number was exaggerated. And in a matter of months, there was an estimate of almost a trillion dollars in expected losses and then they changed it to \$1.4 trillion and the latest estimate is \$2.2 trillion.

In some recent work, I have updated my own estimates of these credit losses. We now find out that actually the peak expected credit losses for US-originated loans and securities could be as high as \$3.6 trillion. And out of this, about \$1.8 trillion will be US banks and broker dealers, the rest of it being pension funds, hedge funds and also foreign investors because a good 50 per cent of the securities were sold to Europe and other parts of the world. So their toxic junk was parceled to rest of the world to non-resident institutions. And if you think about \$1.8 trillion for the banks, last fall the US banks had a capital of only \$1.4 trillion. As it is right now, the US Government has already committed about \$9 trillion of resources to the financial system and of it, \$2 trillion has already been disbursed. So, the Government is de facto